

WPC 480 · Arizona State University

Strategic Expansion Challenge

at Dutch Bros Coffee

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Agenda

01

Strategic Problem

The core challenge Dutch Bros faces as it scales nationally

02

Company Overview

Background, financials, and market position

03

Industry & Competition

Competitive landscape and external pressures

04

Internal Analysis

SWOT — strengths, weaknesses, opportunities, threats

05

Solution & Alternatives

Our recommended strategy and two alternatives

06

Implementation Timeline

Phased 36-month roadmap

07

Expected Outcomes

Projected results and success metrics

How Does Dutch Bros Grow Without Losing Its Soul?

Rapid Expansion

1,136 locations across 25 states; targeting 2,029 by 2029 (7,000+ long-term). Speed creates risk.

Culture Erosion Risk

The "Dutch Luv" culture is the brand. It doesn't scale automatically.

Profitability Pressure

New markets lack brand recognition; higher customer acquisition costs.

 If Dutch Bros cannot replicate its culture at scale, its primary competitive advantage disappears.

Company Overview

1,136+

Locations (2025)

\$1.64B

Revenue (FY 2025)

27.9%

YoY Revenue Growth

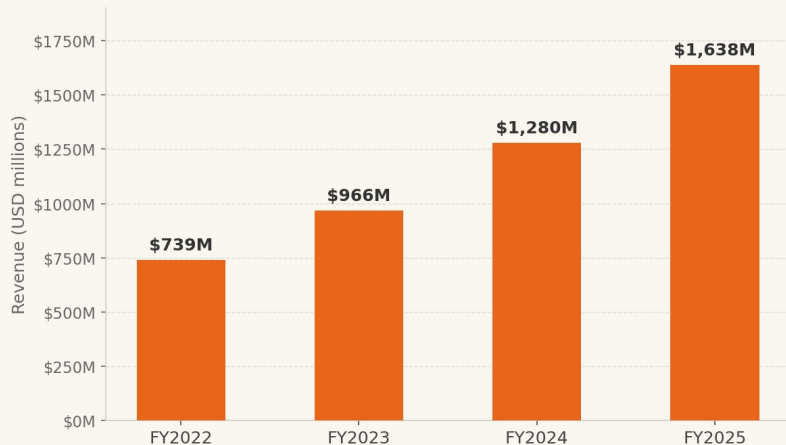
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U.S. Coffee Chain

About Dutch Bros

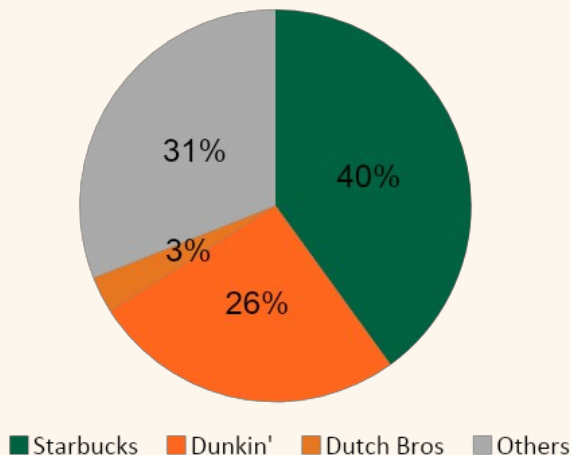
- Founded 1992 in Grants Pass, Oregon by Travis and Dane Boersma
- Drive-thru only model — fast, efficient, experience-focused
- Went public on NYSE (BROS) in September 2021
- Operates company-owned stores; franchise model being phased out
- Known for "Dutch Luv" — high-energy, relationship-driven service culture

Key Financials



Competitive Landscape

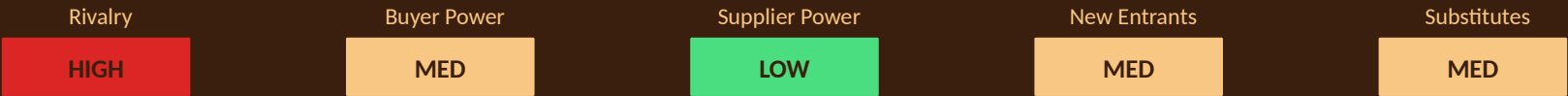
U.S. Coffee Chain Market Share (Est.)



Competitor Benchmarking

Factor	Dutch Bros	Starbucks	Dunkin'
Service Model	Drive-thru	Café + DT	Café + DT
Avg. Ticket	\$8–10	\$7–9	\$5–7
Loyalty App	Yes (BR)	Yes (Stars)	Yes (DD)
Culture Focus	★★★★★	★★★★☆☆	★★☆☆☆☆
Expansion Speed	High	Moderate	Moderate
Menu Complexity	Moderate	Very High	Moderate

Porter's Five Forces Snapshot



Internal & External Analysis — SWOT

STRENGTHS

- Cult-like brand loyalty and culture
- Efficient drive-thru model
- Strong unit economics in core markets
- High employee engagement & retention

WEAKNESSES

- Culture hard to replicate at scale
- Limited menu diversity vs. competitors
- High dependence on drive-thru format
- New markets lack brand recognition

SWOT

OPPORTUNITIES

- Underserved Southeast & Northeast markets
- Mobile ordering & loyalty app growth
- New store formats (urban, college campuses)
- Health-focused beverage trend

THREATS

- Starbucks counter-expansion strategy
- Rising coffee bean / labor costs
- Economic slowdown reducing discretionary spend
- Imitators copying drive-thru model

Three Strategic Paths Forward

RECOMMENDED

01

Disciplined Culture-First Expansion

Expand at a controlled pace tied to culture readiness. Invest heavily in training infrastructure before entering new markets. Use data analytics to select high-potential markets.

ALTERNATIVE A

02

Aggressive Growth with Tech Investment

Accelerate expansion but offset culture risks through digital tools - AI-driven scheduling, standardized training apps, and loyalty platform investments to maintain engagement at scale.

ALTERNATIVE B

03

Focused Regional Deepening

Pause national expansion; saturate existing strong markets (West, Southwest) first. Build operational excellence and unit economics before extending into untested geographies.

Recommended Strategy: Culture-First Expansion



Training Infrastructure

- "Dutch Brew Academy" training centers in each new region
- Culture certification before any market launch
- Peer mentorship program: veteran employees in new stores



Data-Driven Market Selection

- Proprietary scoring model: demographics, competition, real estate
- Limit to 60–80 new stores per year (from ~120)
- Pilot 3 stores per market before full rollout



Digital Experience Layer

- Dutch Rewards app expansion & gamification
- Mobile ordering to reduce wait times
- Real-time customer satisfaction surveys per visit



Culture Accountability Systems

- Employee Net Promoter Score (eNPS) tracked quarterly
- Culture-based bonus incentives for managers
- Regional culture directors role created

Alternative A: Aggressive Growth with Tech Investment

Advantages

- Captures market share before competitors expand
- Technology can standardize some culture elements
- Higher revenue growth potential in 3-year horizon
- Investors reward unit growth - stock price support
- Loyalty app data fuels operational improvements

Risks & Trade-offs

- Technology cannot fully replace human culture
- Overextension strains management bandwidth
- Higher upfront capital expenditure required
- Risk of inconsistent customer experience
- Failed expansion hurts brand trust long-term

Why We Don't Recommend This Path

Dutch Bros' moat is its culture — not its technology. Aggressive growth risks diluting the very differentiator that justifies its premium positioning and customer loyalty. The short-term revenue gains do not offset the long-term brand damage risk.

Alternative B: Focused Regional Deepening

Advantages

- Protects existing market unit economics
- Reduces operational complexity
- Allows culture consolidation before new pushes
- Lower capital needs; better near-term margins
- Brand integrity maintained in known markets

Risks & Trade-offs

- Cedes national growth opportunity to rivals
- Investors expect growth - potential stock decline
- Does not resolve the culture-scaling problem
- Cedes drive-thru market share to 7 Brew and regional chains
- Loses momentum and employee excitement

Why We Don't Recommend This Path

Stalling national expansion creates an opportunity vacuum that Starbucks and emerging regional chains will fill. Dutch Bros must grow or risk being marginalized as a regional brand. The answer is not whether to expand, but how to expand wisely.

Strategy Comparison Matrix

Evaluation Criteria	Culture-First (REC.)	Aggressive + Tech	Regional Focus
Culture Preservation	★★★★★	★★★☆☆	★★★★☆
Revenue Growth (3yr)	★★★☆☆	★★★★★	★★☆☆☆
Capital Efficiency	★★★★☆	★★☆☆☆	★★★★★
Brand Risk Level	LOW ✓	HIGH ✗	LOW ✓
Investor Appeal	★★★☆☆	★★★★★	★★☆☆☆
Operational Feasibility	★★★★☆	★★★☆☆	★★★★★
Long-Term Sustainability	★★★★★	★★★☆☆	★★★★☆

Implementation Timeline — 36-Month Roadmap

Phase 1 Foundation (Months 1-6)

- Launch Dutch Brew Academy
- Hire 4 regional culture directors
- Freeze expansion to 40 stores
- Deploy eNPS tracking system

Phase 2 Controlled Growth (7-18)

- Resume at 60 stores/year
- Pilot 3-store market testing protocol
- Roll out mobile ordering v2
- Quarterly culture audits

Phase 3 Scale & Optimize (19-36)

- Full 60-80 store/year cadence
- Enter 6 new metro markets
- Launch urban store format pilot
- Data analytics full deployment

Operational Enhancements



Urban Store Formats

Compact walk-up and kiosk models for dense cities and college campuses, addressing the limitation of drive-thru-only in urban environments.



Digital Ordering & Loyalty

Enhanced Dutch Rewards app with pre-ordering, personalization, and gamified rewards. Target: 30% of transactions through app by Year 2.



Drive-Thru Efficiency

AI-powered queue management, dual-lane configurations in high-volume markets, and real-time speed metrics to maintain < 3 min service time.



Labor & Scheduling Analytics

Data-driven labor scheduling based on historical traffic patterns. Reduces overstaffing costs while ensuring culture-fit staffing ratios.



Menu Optimization

Streamline SKU count to improve speed while adding seasonal items. Introduce a premium coffee line to expand addressable market.

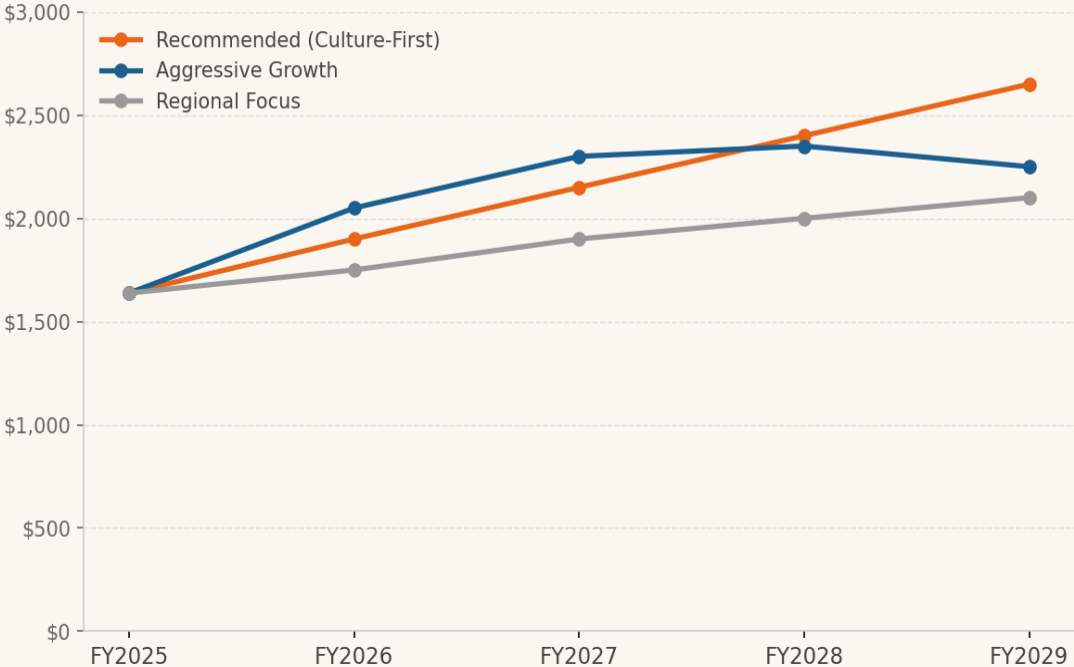


Sustainability Initiatives

Reusable cup discount program, renewable energy for new builds, and sustainable sourcing - responds to Gen Z consumer preferences.

Expected Outcomes & Financial Projections

Revenue Projection by Strategy (\$M)



3-Year KPI Targets

	Current	Target
New Stores / Year	~120	60-80
eNPS Score Target	Est. 55	70+
Loyalty Txn %	72%	80%
Drive-Thru Speed	~3.5 min	< 3 min
Revenue (FY29)	\$1.64B	\$2.65B
Store Count (FY29)	1,136+	2,029+

Risk Assessment & Mitigation

Risk	Probability	Impact	Mitigation
Culture dilution during training scale-up	HIGH	HIGH	Hire regional culture directors; certify trainers before market launch
Slower unit growth disappoints investors	MED	MED	Proactive investor communication about long-term value; demonstrate same-store sales growth
Rising coffee bean commodity prices	MED	HIGH	Multi-year supply contracts; diversify supplier base
Competitor enters key new markets first	MED	MED	Prioritize top 10 target markets in Phase 2; accelerate pilot testing in priority cities
Technology rollout delays or failures	LOW	MED	Phased rollout; pilot testing in 10 stores before system-wide deployment

CONCLUSION

Grow Smart. Stay Dutch.

- Dutch Bros' core challenge is scaling culture, not just stores
- A disciplined, culture-first expansion strategy is our recommendation
- Training infrastructure must precede market entry, not follow it
- Technology enhances but cannot replace the human element of the brand
- 60–80 new stores/year is the right pace to sustain competitive advantage
- Success = sustainable growth + consistent customer experience

Questions?

We welcome your questions and discussion.

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